

If you step back and think for a moment, the Standard & Poor's 500 index is a measuring stick. It is made up of 500 companies and each has its own economic return. To outperform the S&P 500 index over time—to raise that benchmark—we have to assemble and manage a portfolio of companies with economics that are superior to the average weighted economics of the index.

“If my universe of business possibilities was limited, say, to private companies in Omaha, I would, first, try to assess the long-term economic characteristics of each business,” says Buffett. “Second, assess the quality of the people in charge of running it; and third, try to buy into a few of the best operations at a sensible price. I certainly would not wish to own an equal part of every business in town. Why, then, should Berkshire take a different tack when dealing with the larger universe of public companies? And since finding great businesses and outstanding managers is so difficult, why should we discard proven products? Our motto is: If at first you do succeed, quit trying.”⁵⁶

Focus investing is necessarily a long-term approach to investing. If we were to ask Buffett what he considers an ideal holding period, he would answer, “Forever”—so long as the company continues to generate above-average economics and management allocates the earnings of the company in a rational manner. “Inactivity strikes us as an intelligent behavior,” he explains. “Neither we nor most business managers would dream of feverishly trading highly profitable subsidiaries because a small move in the Federal Reserve's discount rate was predicted or because some Wall Street pundit has reversed his views on the market. Why, then, should we behave differently with our minority positions in wonderful businesses?”⁵⁷

Of course, if you own a lousy company, you require turnover. Otherwise, you end up owning the economics of a subpar business for a long time. But if you own a superior company, the last thing you want to do is sell it.

This slothlike approach to portfolio management may appear quirky to those accustomed to actively buying and selling stocks on a regular basis, but it does have two important economic benefits, in addition to growing capital at an above-average rate. It works to reduce transaction costs and to increase after-tax returns. Each advantage by itself is extremely valuable; their combined benefit is enormous.